5. The Gambler

Kalshi and Polymarket are two leading companies in the recently popular world of "predictive markets," which are trade-betting markets that allow users to predict events for financial incentives. Users purchase contracts, akin to commodities contracts, on essentially anything, from the length of a press conference delivered by a politician to the location or date of a celebrity's wedding.

Gambling more broadly has existed for some time. In particular, the recent deregulation of gambling at the federal level has allowed for the proliferation of gambling websites and apps, including wider participation on platforms that host predictive markets.[26] We now live in a society where, so long as you are of legal age, anyone can gamble on sporting events from their living room couch. It appears that those skeptical of predictive markets would have to concede that using them for actions not unlike other traditional gambling platforms presents little moral harm beyond that of gambling itself. However, it is the ability to "gamble on anything" that presents the most difficult question with regard to the moral quandaries of predictive markets.

Proponents of predictive markets highlight the utility of these markets. Tarek Mansour, the CEO of Kalshi, recently headlined a conference on global finance. During a panel discussion, he shared his long-term vision "to financialize everything and create a tradable asset out of any difference in opinion."[27] Shayne Coplan, the CEO of Polymarket, recently called his platform "the most accurate thing we have as mankind right now." Thus, we are caught up in a question of utility. The financial incentive created by purchasing contracts on-wagers for outcomes of current events could indeed allow for greater insight into the public's view on certain issues. For example, Kalshi capitalized on the 2024 U.S. presidential election by using the financial incentives of their platform to offer a more accurate polling of American voters. In short, the idea is that once individuals have "skin in the game," which is accomplished through a financial incentive, a wider audience is reached, and more accurate data is collected when compared with traditional polling methods. However, when these wagers directly impact individuals' lives, how much are we willing to sacrifice in the name of accurately predicting these events?

In early Spring of 2026, a U.S. Army Special Forces soldier was indicted on several federal charges relating to contracts he purchased on predictive markets. The individual in question profited nearly $400,000 by allegedly using insider information to purchase contracts on these markets that the Venezuelan President, Nicholas Maduro, would be removed from office. Federal officials have accused the soldier of using information he gained while planning the

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[26] Liptak, Adam and Kevin Draper. "Supreme Court Ruling Favors Sports Betting." *The New York Times*. May 14, 2018. Retrieved from https://www.nytimes.com/2018/05/14/us/politics/supreme-court-sports-betting-new-jersey.html.

[27] Dellinger, AJ. "Kalshi CEO Says He Wants to Monetize 'Any Difference in Opinion.'" *Gizmodo*. December 4, 2025. Retrieved from https://gizmodo.com/kalshi-ceo-says-he-wants-to-monetize-any-difference-in-opinion-2000695320.

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operation to capture Mr. Maduro when he purchased these contracts.[28] In a similar vein, more than $50 million was recently traded across these same prediction markets in relation to the ouster of Iranian Supreme Leader Ali Khamenei. Also concerning are the 150 accounts that purchased contracts the day before U.S. military intervention in Iran.[29]

Opponents of these contracts highlight the morally dubious nature of purchasing contracts on events like the removal of a head of state or other forms of violence or conflict. Take, for example, the previously mentioned case of contracts on the "ouster" of Ali Khamenei. While the language of the contract does not explicitly reference the political assassination of the leader, opponents state that there are very few ways an autocrat who has been in power for decades could be removed from power absent their death. This concern does not extend only to heads of state, however, and is present when contracts are purchased on any geopolitical conflict. Is there a meaningful difference between purchasing contracts on the winner of, say, a U.S. federal election and the removal of a head of state? Are there any geopolitical issues that allow for contract trading without risk of moral harms?

One final concern with predictive markets like Kalshi and Polymarket is the effect they have on the individual and how they appreciate events in the real world. Being able to treat any future event as an investment might adversely affect one's capacity to appreciate the moral, political, cultural, or aesthetic value of said event. An event might simply be the actualization of a possible fact about the world, and predictive markets seem to treat the future in this way, with a financial incentive to indicate the most likely fact. But events might be more than this, and the ability to appreciate the non-factive elements of the future might be eroded by an obsession over the truth or falsity of a possible world in the future.

[28] Weiser, Benjamin and Jonah Bromwich. "Soldier Used Classified Information to Bet on Maduro's Ouster, U.S. Says." *The New York Times*. April 23, 2026. Retrieved from https://www.nytimes.com/2026/04/23/nyregion/polymarket-maduro-indictment-soldier.html.
[29] Livni, Ephrat. "Betting on Ayatollah's Ouster Ignites Ire Over Prediction Markets." *The New York Times*. March 18, 2026. Retrieved from https://www.nytimes.com/2026/03/18/world/middleeast/ayatollah-ouster-bets-death.html.

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